GEM top 20 briefing notes

These are internal-style speaking notes designed to help explain why each name can belong in a fundamentally oriented GEM portfolio, using the current business mix, financial profile, and valuation backdrop in the saved finance dataset.

TSM

- TSM is the cleanest way to own global compute intensity because the business is centered on wafer fabrication for high performance computing, smartphones, IoT, automotive, and other semiconductor end markets, with high performance computing already 58.0% of revenue and smartphones 29.0% (TSM finance).
- The core ownership case is that scale and process leadership are still translating into exceptional economics, with revenue up 31.6% year over year, operating margin at 50.8%, and net margin at 45.0% on the latest annual numbers (TSM finance).
- This is not just a growth story but a balance-sheet-backed compounding story, with TWD 2.8tn of cash and TWD 2.3tn of operating cash flow, which supports continued heavy reinvestment even after TWD 1.3tn of capex (TSM finance).
- In a portfolio context, the attraction is that TSM gives exposure to AI, advanced packaging, and semiconductor content growth without forcing a single-product bet on any one fabless customer or end-device cycle (TSM finance).
- The risk to watch is always whether the stock is already discounting too much, because it trades on 35.46x earnings and the average analyst target in the dataset is 392.0 versus a 370.6 share price, so the debate is less about quality and more about how much upside remains after a very strong run (TSM finance).

SK hynix

- SK hynix is a direct way to own the memory content cycle because the company is fundamentally a DRAM and NAND producer serving server, networking, mobile, PC, consumer, and automotive markets (000660.KS finance).
- The reason to own it now is operating leverage, with latest revenue of KRW 97.1tn growing 46.8% year over year and net income reaching KRW 42.9tn, which shows how violently memory earnings inflect when pricing and mix improve (000660.KS finance).
- Cash generation is also supporting the story, with KRW 53.4tn of operating cash flow against KRW 27.5tn of capex, meaning the company is funding the cycle and still strengthening its position rather than simply chasing growth with weak returns (000660.KS finance).
- For a GEM portfolio, this name works as a higher-beta semiconductor complement to TSM because it gives more direct exposure to memory scarcity, pricing normalization, and

the performance demand coming out of data center and AI workloads (000660.KS finance).

- The key question to monitor is how much of today's profitability is cyclical rather than structural, because this is still a memory business and the stock has already rerated sharply toward its 1,099,000 year high from a 171,800 year low (000660.KS finance).

Tencent

- Tencent is attractive because it combines multiple profit pools inside one platform, spanning value-added services, online advertising, and fintech and business services, rather than depending on any single game or ad product (TCTZF finance).
- The quality of the franchise shows up in the numbers, with revenue of CNY 732.4bn, operating profit of CNY 238.4bn, net income of CNY 219.0bn, and operating cash flow of CNY 303.1bn (TCTZF finance).
- That combination matters because it means Tencent is still compounding from a very large base, with 10.9% revenue growth coming on top of already dominant scale and a 17.58x P/E that is not demanding for this level of cash generation (TCTZF finance).
- From a portfolio construction standpoint, Tencent offers a broad China internet exposure with better diversification than a single-subsector name, since gaming, advertising, and fintech can offset one another through the cycle (TCTZF finance).
- The main thing to watch is whether regulation, competition, or capital allocation starts to dilute returns, especially because gross debt of CNY 406.6bn is meaningful even if the cash flow engine remains very strong (TCTZF finance).

Prosus

- Prosus fits as a diversified internet and e-commerce platform exposure, with activities across classifieds, payments and fintech, food delivery, travel, education technology, health, ventures, and other internet categories (PROSY finance).
- The investment case is that the market is still paying a modest multiple for a broad portfolio of digital assets, with the stock on 8.43x earnings despite EUR 12.4bn of net income and EUR 1.9bn of operating cash flow in the latest annual data (PROSY finance).
- This can make sense in GEM as a lower-multiple way to own global consumer internet optionality, because you are not paying a pure-play premium for any one vertical such as food delivery or payments (PROSY finance).
- The balance sheet is not pristine, with EUR 16.4bn of debt against EUR 7.1bn of cash, so the thesis relies on disciplined portfolio management and on the underlying internet assets continuing to mature into cash generators (PROSY finance).
- In conversation, the simplest framing is that Prosus offers a diversified basket of internet assets at a valuation that already embeds skepticism, which creates room for value realization if execution continues improving (PROSY finance).

Samsung Electronics

- Samsung works as a broad hardware and semiconductor compounder because it spans consumer electronics, mobile and IT, and device solutions, giving the portfolio exposure to both chips and end devices (SSUN.F finance).
- The latest annual figures show that the earnings base has re-expanded, with revenue of KRW 333.6tn, operating profit of KRW 43.6tn, net income of KRW 44.3tn, and operating cash flow of KRW 85.3tn (SSUN.F finance).
- The reason to own it is that you are getting cyclical recovery and franchise quality together, because 10.9% revenue growth is being generated with a very strong balance sheet that still holds KRW 57.9tn of cash against KRW 25.2tn of debt (SSUN.F finance).
- Relative to narrower semiconductor names, Samsung gives optionality across memory, handsets, and consumer electronics, which can make it a steadier way to express a constructive view on global technology demand (SSUN.F finance).
- The debate is whether returns can stay elevated once the cycle normalizes, but at 21.09x earnings the valuation still looks reasonable for a company of this scale, diversification, and cash generation profile (SSUN.F finance).

MediaTek

- MediaTek is a fabless semiconductor way to own device connectivity and compute content, with products spanning mobile communication, tablets, automotive chipsets, Bluetooth, GPS, Wi-Fi, broadband, and multimedia ICs (2454.TW finance).
- The attraction is a mix of growth and profitability, with revenue of TWD 596.0bn growing 12.3% year over year and net income of TWD 105.3bn on operating profit of TWD 103.5bn (2454.TW finance).
- This is also a financially resilient business, carrying TWD 235.3bn of cash, just TWD 21.9bn of debt, and TWD 158.3bn of operating cash flow, which gives it room to invest through product cycles (2454.TW finance).
- In the portfolio, MediaTek can be pitched as a differentiated semiconductor exposure because it monetizes rising connectivity and silicon content without owning manufacturing risk directly (2454.TW finance).
- The key watchpoint is whether mix remains favorable enough to justify a 24.55x P/E, but if new product ramps hold, the combination of scale, net cash, and healthy cash conversion is compelling (2454.TW finance).

Credicorp

- Credicorp is a high-quality Andean financial holding company with exposure across universal banking, insurance, and health services, which gives more breadth than a single-line lender (BAP finance).
- The ownership case is that the franchise is already producing material earnings, with PEN 7.1bn of net income, a 33.8% net margin, and PEN 8.6bn of operating cash flow in the latest annual data (BAP finance).

- This matters because you are buying profitability and balance-sheet liquidity rather than a speculative turnaround, with PEN 49.0bn of cash and only a 14.0x P/E multiple (BAP finance).
- For GEM, the appeal is exposure to financial deepening in Peru through a diversified local champion that can capture loan growth, fee income, and insurance penetration together (BAP finance).
- The point to watch is that the sell-side setup is not euphoric, with only a buy consensus and 50.0% bullish ratings in the dataset, so the stock likely needs steady execution rather than multiple expansion alone to work (BAP finance).

MercadoLibre

- MercadoLibre is one of the clearest platform compounding stories in emerging markets because it operates both the commerce marketplace and the Mercado Pago fintech ecosystem across Latin America (MELI finance).
- The operating evidence is strong, with revenue of USD 28.9bn growing 39.1% year over year, operating profit of USD 3.2bn, net income of USD 2.0bn, and operating cash flow of USD 12.1bn (MELI finance).
- The dual-engine thesis is visible in the KPI mix, with 121.0m unique active buyers, 78.0m fintech monthly active users, USD 16.3bn of commerce revenue, USD 12.6bn of fintech revenue, and USD 277.8bn of payment volume (MELI finance).
- This is why the stock can justify a premium multiple, because analysts in the dataset still model revenue rising to USD 38.5bn and net income to USD 2.6bn next year while maintaining a strong buy consensus and a USD 2,531.11 average target (MELI finance).
- The investment conversation should focus on sustained share gains and ecosystem monetization, while acknowledging that at 45.05x earnings the market already expects continued execution and cannot tolerate a sharp slowdown (MELI finance).

TOTVS

- TOTVS is a practical way to own enterprise digitization in Brazil because it sells business management software, productivity and collaboration platforms, and related implementation and consulting services (TOTS3.SA finance).
- The case rests on steady, recurring, locally embedded software economics, with revenue of BRL 5.8bn growing 10.5% year over year, operating profit of BRL 1.1bn, and net income of BRL 891.7m (TOTS3.SA finance).
- Cash generation is solid, with BRL 1.2bn of operating cash flow and a manageable balance sheet of BRL 1.8bn cash against BRL 2.1bn debt, which supports the idea of a durable compounding software asset rather than a cash-burning tech story (TOTS3.SA finance).
- In portfolio terms, TOTVS adds a different kind of growth exposure because it is tied to SME and enterprise software adoption rather than consumer internet or semiconductors (TOTS3.SA finance).

- The stock is not obviously cheap at 23.5x earnings, so the ongoing question is whether the platform can keep deepening wallet share and lifting margins enough to sustain that quality premium (TOTS3.SA finance).

Nu Holdings

- Nu is a digital financial services platform built across Brazil, Mexico, and Colombia, offering cards, accounts, payments, personal loans, investments, insurance, and business banking products (NU finance).
- The central ownership case is that scale is now turning into real earnings, with USD 2.9bn of net income, a 24.8% net margin, and USD 3.5bn of operating cash flow in the latest annual numbers (NU finance).
- The best proof of franchise strength is customer engagement, because the company already serves 131.0m customers and an 83.4% activity rate, which suggests the base is both large and monetizable (NU finance).
- This can be framed as financial inclusion meeting operating leverage, where the digital model keeps unit costs low while product breadth allows revenue per customer to expand over time (NU finance).
- The pushback is valuation discipline, since the shares trade on 25.79x earnings, but the dataset still shows a strong buy consensus and an 18.52 average target versus a 14.96 share price, implying the market still sees runway (NU finance).

PDD

- PDD is a multinational commerce platform built around value-oriented online retail, with exposure to broad merchandise categories and a meaningful transaction-services profit stream (PDD finance).
- The key attraction is that the company is still growing while already throwing off huge profits, with revenue of CNY 431.8bn, revenue growth of 9.7%, operating margin of 21.9%, net margin of 23.0%, and net income of CNY 99.4bn (PDD finance).
- Cash generation reinforces the case, with CNY 106.9bn of operating cash flow and CNY 108.9bn of cash, which gives the company flexibility to invest in users, merchants, and logistics without balance-sheet stress (PDD finance).
- The reason this can still work is valuation, because a 10.2x P/E is not demanding relative to consensus estimates for CNY 495.2bn of forward revenue and CNY 112.9bn of forward net income (PDD finance).
- The thing to watch is whether slower top-line growth means the market starts treating PDD as mature rather than disruptive, but if monetization and efficiency hold, the risk-reward still looks favorable (PDD finance).

Regional

- Regional is a Mexican banking group serving entrepreneurs and small businesses through loans, payments, insurance, and other financial products, so it is exposed to productive domestic credit growth rather than only consumer lending (RA.MX finance).
- The numbers show a business that is scaling quickly, with MXN 34.3bn of revenue, 141.2% reported revenue growth, MXN 9.0bn of operating profit, and MXN 6.6bn of net income (RA.MX finance).
- Valuation is an important part of the thesis because the stock trades on just 7.51x earnings, which suggests the market is still discounting either macro or asset-quality risk despite the level of profitability (RA.MX finance).
- For a GEM portfolio, Regional offers exposure to Mexican financial deepening in a way that is more leveraged to SME activity and formalization than a pure consumer bank would be (RA.MX finance).
- The main issue to monitor is quality of growth, because operating cash flow was negative MXN 16.0bn in the latest year, so the balance between expansion and funding intensity needs close attention (RA.MX finance).

Trip.com

- Trip.com is a scaled travel platform spanning accommodation reservations, transportation ticketing, packaged tours, in-destination services, and corporate travel management in China and internationally (TCOM finance).
- The ownership case is that travel recovery has turned into real profitability, with revenue of CNY 62.4bn growing 17.1%, operating margin of 25.3%, net margin of 52.9%, and net income of CNY 33.0bn (TCOM finance).
- Segment data supports the breadth of the platform, with CNY 26.1bn from accommodation reservations and CNY 22.5bn from transportation ticketing, which shows the earnings base is not dependent on a narrow niche (TCOM finance).
- The stock also looks inexpensive relative to its quality and cash generation, trading on 7.35x earnings with CNY 46.5bn of cash and consensus estimates pointing to CNY 70.9bn of forward revenue (TCOM finance).
- The conversation point is that this is a high-return travel franchise with a net-cash balance sheet and a strong buy consensus, but the risk is always that outbound and domestic travel normalize slower than the market hopes (TCOM finance).

ICICI Lombard

- ICICI Lombard is an Indian general insurer with exposure across motor, health, travel, home, crop, fire, marine, and commercial insurance lines, making it a broad play on insurance penetration rather than a narrow mono-line insurer (ICICIGI.NS finance).
- The core reason to hold it is that the business is already scaling profitably, with INR 249.0bn of revenue, 14.4% revenue growth, operating profit of INR 33.2bn, and net income of INR 25.1bn (ICICIGI.NS finance).

- This is a quality compounding setup rather than a deep-value setup, because consensus in the dataset expects revenue to rise to INR 257.2bn and net income to INR 28.8bn while the stock trades on 32.61x earnings (ICICIGI.NS finance).
- In a GEM portfolio, the appeal is access to Indian under-penetrated insurance demand through a scaled, branded platform that can benefit from both premium growth and underwriting discipline (ICICIGI.NS finance).
- The key watchpoint is whether growth remains profitable enough to defend the multiple, because the market is already paying up for resilience and does not need much disappointment to de-rate the shares (ICICIGI.NS finance).

Sea

- Sea is attractive because it combines three major digital businesses in one company: Shopee in e-commerce, Monee in digital financial services, and Garena in digital entertainment (SE finance).
- The financial picture has improved sharply, with revenue of USD 22.9bn growing 36.4%, operating margin of 8.7%, net margin of 7.0%, net income of USD 1.6bn, and operating cash flow of USD 5.0bn (SE finance).
- The platform depth matters, because Shopee GMV reached USD 127.4bn with a 13.0% take rate, while Shopee revenue was USD 16.6bn, Monee services revenue was USD 3.8bn, and Garena revenue was USD 2.4bn (SE finance).
- The reason to own it is that Sea has moved beyond a pure growth-at-all-costs story and now has evidence that its ecosystem can grow and make money at the same time, with consensus still modeling USD 29.1bn of forward revenue (SE finance).
- The debate is valuation versus durability, because a 34.1x P/E assumes continued execution, but the strong buy consensus and 169.14 average target suggest the market still sees substantial upside if profitability keeps improving (SE finance).

ANTA

- ANTA is a scaled Chinese sportswear platform that designs, develops, manufactures, and markets sporting footwear, apparel, and accessories, giving exposure to branded domestic consumption rather than generic retail (ANPDY finance).
- The ownership case is grounded in a healthy earnings base, with revenue of CNY 78.0bn, revenue growth of 10.2%, operating profit of CNY 15.7bn, and net income of CNY 13.2bn (ANPDY finance).
- Cash generation is also meaningful, with CNY 20.4bn of operating cash flow, which supports the idea that this is a real consumer franchise and not just a revenue-growth story (ANPDY finance).
- In portfolio terms, ANTA adds a China domestic demand angle with brand equity and category leadership rather than another internet or hardware exposure (ANPDY finance).
- The balance-sheet point to monitor is leverage, with CNY 33.4bn of debt versus CNY 12.8bn of cash, but at 15.32x earnings the valuation still leaves room if brand momentum

and operating discipline continue (ANPDY finance).

CAMS

- CAMS is effectively financial infrastructure for Indian savings, acting as a mutual fund transfer agency and also serving private equity funds, banks, and non-bank financial institutions (CAMS.NS finance).
- The reason to own it is the attractive combination of scale and profitability, with revenue of INR 14.2bn growing 25.2%, operating profit of INR 9.3bn, and net income of INR 4.7bn (CAMS.NS finance).
- It also converts earnings well, producing INR 4.8bn of operating cash flow with low debt of INR 885.2m, which makes the franchise look more like a toll-road asset on the growth of Indian financial assets (CAMS.NS finance).
- The investment pitch is that as mutual fund penetration, SIP flows, and outsourced financial administration grow in India, CAMS can capture volume growth without taking direct credit or underwriting risk (CAMS.NS finance).
- The pushback is valuation, because 37.7x earnings is full, so the stock likely only works if investors stay convinced that the market structure and operating leverage are durable enough to support a premium multiple (CAMS.NS finance).

Full Truck Alliance

- Full Truck Alliance is a digital freight platform connecting shippers with truckers across multiple distance ranges, cargo weights, and shipment types in China, so it is essentially a logistics marketplace and network business (YMM finance).
- The financial quality is better than the market seems to credit, with revenue of CNY 12.5bn growing 11.1%, operating margin of 33.2%, net margin of 35.7%, and net income of CNY 4.5bn (YMM finance).
- The balance sheet also helps the case, with CNY 6.1bn of cash and CNY 3.0bn of operating cash flow, which gives the company flexibility to deepen network density and service quality (YMM finance).
- The interesting angle is that the stock trades on just 13.56x earnings even though the business looks asset-light and profitable, which suggests skepticism is already reflected in the price (YMM finance).
- In discussion, it is worth noting that consensus in the dataset is outright negative, with a sell rating and 0.0% bullish, so this is the kind of position that only belongs in the portfolio if the team believes the market is missing the durability of the freight platform model (YMM finance).

H World

- H World is a large hotel operator in China built across leased and owned and franchised formats, with brands ranging from economy to upscale lodging (HTHT finance).
- The appeal is that the travel recovery and brand system are translating into solid numbers, with revenue of CNY 25.3bn, 5.9% revenue growth, operating margin of 26.9%, and net income of CNY 5.1bn (HTHT finance).
- Cash generation is strong, with CNY 8.4bn of operating cash flow and CNY 10.5bn of cash, which supports expansion and brand investment without balance-sheet strain (HTHT finance).
- The stock can be framed as a domestic China services recovery play with a proven operating model, and consensus still projects CNY 26.7bn of forward revenue and CNY 5.4bn of forward net income (HTHT finance).
- At 22.52x earnings this is not a bargain, but the strong buy consensus and 61.0 average target imply the market still believes branded lodging consolidation and asset-light expansion have room to run (HTHT finance).

Capitec

- Capitec is a South African financial group spanning retail banking, business banking, and insurance, so the franchise is broader than a single-product lender (CKHGY finance).
- The main reason to own it is the operating performance, with revenue of ZAR 44.1bn growing 61.4%, operating profit of ZAR 26.0bn, net income of ZAR 13.7bn, and operating cash flow of ZAR 24.9bn (CKHGY finance).
- Balance-sheet strength is part of the case too, with ZAR 29.3bn of cash and zero debt in the latest annual dataset, which gives the business room to keep expanding products and customers from a position of strength (CKHGY finance).
- In a GEM portfolio, Capitec offers exposure to financial inclusion and retail banking modernization in South Africa through a profitable incumbent challenger rather than a speculative fintech (CKHGY finance).
- The stock is clearly a quality name and not a value name, trading on 32.67x earnings, so the ongoing question is whether the franchise can compound fast enough to keep justifying that premium valuation (CKHGY finance).

Fast recall

- The semiconductor core is TSM, SK hynix, Samsung, and MediaTek, with TSM as quality and scale, SK hynix as memory torque, Samsung as diversified hardware and memory, and MediaTek as fabless connectivity and compute (TSM finance) (000660.KS finance) (SSUN.F finance) (2454.TW finance).
- The internet and platform compounders are Tencent, Prosus, MercadoLibre, Nu, PDD, Trip.com, Sea, and Full Truck Alliance, with the main distinction being whether you are underwriting monetization scale, ecosystem breadth, or a valuation disconnect (TCTZF

finance) (PROSY finance) (MELI finance) (NU finance) (PDD finance) (TCOM finance) (SE finance) (YMM finance).

- The financials are Credicorp, Regional, ICICI Lombard, CAMS, and Capitec, where the common thread is formalization and financial deepening but each name expresses it through a different product architecture and country backdrop (BAP finance) (RA.MX finance) (ICICIGI.NS finance) (CAMS.NS finance) (CKHGY finance).
- The consumer and services domestics are TOTVS, ANTA, and H World, where the case is less about macro beta and more about owning local champions with repeat usage, pricing power, and scalable operating models (TOTS3.SA finance) (ANPDY finance) (HTHT finance).